PORTFOLIO CASE STUDY / FINANCIAL REPORTING

BEYOND THE RATIOS.

A three-year financial performance comparison of Inox Wind Limited and Suzlon Energy Limited

FY 2023–24 TO FY 2025–26 • INDIA / WIND ENERGY SECTOR

THE ANALYTICAL QUESTION

Can improved liquidity ratios coexist with weak cash generation? Inox Wind's FY26 results suggest they can.

Executive snapshot

INDICATOR • FY26	INOX WIND	SUZLON ENERGY
Current ratio	2.01×	1.65×
Net profit margin	10.21%	18.97%
Interest coverage	4.30×	6.24×
Cash ratio	0.0345×	0.1035×

What this analysis found

01 / Improved coverage. Inox's current and quick ratios rose across the period, even as available cash relative to current liabilities remained thin.

02 / Higher reported profitability at Suzlon. Suzlon led on net profit margin, return on equity and interest coverage, although its reported profits included material tax credits.

03 / Working-capital pressure at Inox. In FY26, Inox reported ₹449.10 crore of net profit after tax alongside negative ₹598.12 crore operating cash flow.

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01 / SCORECARD

Nine ratios. Three financial years.

Consolidated financial statements; ratios shown in times (×) or percentages. Reporting-year labels refer to years ended March 2024, 2025 and 2026.

INOX WIND LIMITED

RATIO	FY24	FY25	FY26
Current ratio	1.14×	1.55×	2.01×
Quick ratio	0.62×	1.13×	1.52×
Cash ratio	0.0041×	0.0661×	0.0345×
Operating ratio	91.46%	83.84%	84.38%
Net profit margin	−2.76%	12.30%	10.21%
Return on equity	−1.57%	12.95%	7.50%
Long-term debt–equity	0.0807×	0.0004×	0.0431×
Interest coverage	0.82×	4.18×	4.30×
Proprietary ratio	41.56%	51.28%	52.89%

SUZLON ENERGY LIMITED

RATIO	FY24	FY25	FY26
Current ratio	1.76×	1.56×	1.65×
Quick ratio	0.98×	1.00×	1.08×
Cash ratio	0.0857×	0.1596×	0.1035×
Operating ratio	87.58%	85.63%	84.10%
Net profit margin	10.16%	19.09%	18.97%
Return on equity	26.31%	41.33%	40.64%
Long-term debt–equity	0.0127×	0.0212×	0.0109×
Interest coverage	5.01×	6.68×	6.24×
Proprietary ratio	54.61%	47.11%	50.15%

READING GUIDE

Lower is generally favourable for the operating ratio. The debt–equity figure uses only non-current long-term borrowings, not all financing obligations.

02 / LIQUIDITY

Higher book coverage, weaker immediate cash.

Inox's liquidity improvement is visible, but the quality and collectability of its current assets matter.

FY26 LIQUIDITY	INOX	SUZLON
Current ratio	2.01×	1.65×
Quick ratio	1.52×	1.08×
Cash ratio	0.0345×	0.1035×

Current and quick ratios: a clear improvement

Inox's current ratio rose from 1.14× in FY24 to 2.01× in FY26; its quick ratio improved from 0.62× to 1.52×. These numbers point to stronger reported coverage of short-term liabilities. However, the composition of current assets is critical: a larger accounting asset balance cannot be treated as cash on hand.

Cash ratio: Suzlon still leads

At FY26 year-end, Inox had ₹3.45 of cash and current marketable investments per ₹100 of current liabilities. Suzlon had ₹10.35 for the same ₹100. This does not imply insolvency, because liabilities fall due over time; it highlights differences in immediate liquidity buffers.

Underlying issue: receivables

KEY DATAPOINT

Inox's trade receivables totalled ₹4,249.84 crore in FY26 — 55.83% of its current assets.

Recommended operating response

Collection discipline. Prioritise overdue invoices by customer and project; resolve acceptance disputes and release retention claims.

Cash planning. Implement a rolling 13-week forecast tied to committed payroll, finance and supplier payments.

Working capital. Align customer milestones, supplier advances and inventory buying to delivery schedules.

Interpretation caveat: the quick ratio still includes certain advances and tax-related balances. Cash ratio excludes other bank balances, which may have restrictions or different liquidity characteristics.

03 / PROFITABILITY

Margins tell only part of the earnings story.

Suzlon leads on reported net margin and ROE; accounting effects are important when interpreting the gap.

FY26 PROFITABILITY	INOX	SUZLON
Operating ratio (lower better)	84.38%	84.10%
Net profit margin	10.21%	18.97%
Return on equity	7.50%	40.64%

Operating performance is closer than net profitability suggests

The operating ratios are similar in FY26: 84.38% for Inox and 84.10% for Suzlon. Inox's ratio increased slightly from 83.84% in FY25, while Suzlon improved steadily over the period. For Inox, project-level procurement, execution and pricing require attention.

A significant reported tax effect at Suzlon

SUZLON • FY26 EARNINGS BRIDGE	₹ CRORE
Profit before tax	2,421.72
Net tax credit	+741.67
Reported profit after tax	3,163.39

The net tax credit equals approximately 23.45% of Suzlon's FY26 reported PAT. The original analysis also identifies a ₹70 crore exceptional gain within profit before tax. These items affect reported comparisons and should not be presumed recurring.

Inox's return on equity needs attention

Inox's parent-attributable profit fell from ₹448.22 crore in FY25 to ₹405.04 crore in FY26 while its equity base grew, reducing ROE from 12.95% to 7.50%. This suggests measuring returns on newly deployed equity alongside growth in sales and earnings.

ANALYST INTERPRETATION

Use operating efficiency, cash conversion and adjusted earnings quality alongside reported profit margins. A high net margin by itself is not a complete indicator of business quality.

04 / FINANCIAL STABILITY

Solvency improved, but funding risk is broader.

Inox's interest-cover recovery is meaningful, while Suzlon retained a higher interest cushion.

FY26 STABILITY	INOX	SUZLON
Interest coverage	4.30×	6.24×
Long-term debt–equity	0.0431×	0.0109×
Proprietary ratio	52.89%	50.15%

Interest coverage: a notable recovery for Inox

Inox moved from 0.82× in FY24 to 4.30× in FY26, signalling much stronger accounting earnings coverage of finance costs. Suzlon remained ahead at 6.24×, though below its FY25 peak of 6.68×.

The debt definition matters

The long-term debt–equity ratio here uses non-current borrowings divided by parent shareholders' equity, following the assignment convention. It excludes current maturities and leases and therefore does not measure total indebtedness. For FY26, Inox also reported ₹1,276.40 crore of current borrowings and ₹410.13 crore of TReDS payable.

Equity funding does not eliminate business risk

Inox's proprietary ratio reached 52.89% compared with Suzlon's 50.15%. For Inox, it captures parent owners' equity as a share of consolidated assets and excludes non-controlling interests. Equity participation can absorb losses, but receivable recoverability and capital efficiency still determine resilience.

RISK-MANAGEMENT PRIORITIES

Stress-test coverage for delayed collections or execution; assess the complete debt maturity ladder, working-capital liabilities and cash available for interest payments.

Calculation definition: interest coverage = (profit before tax + finance costs) / finance costs. It is not a cash-interest-coverage ratio and can reflect non-operating or exceptional effects.

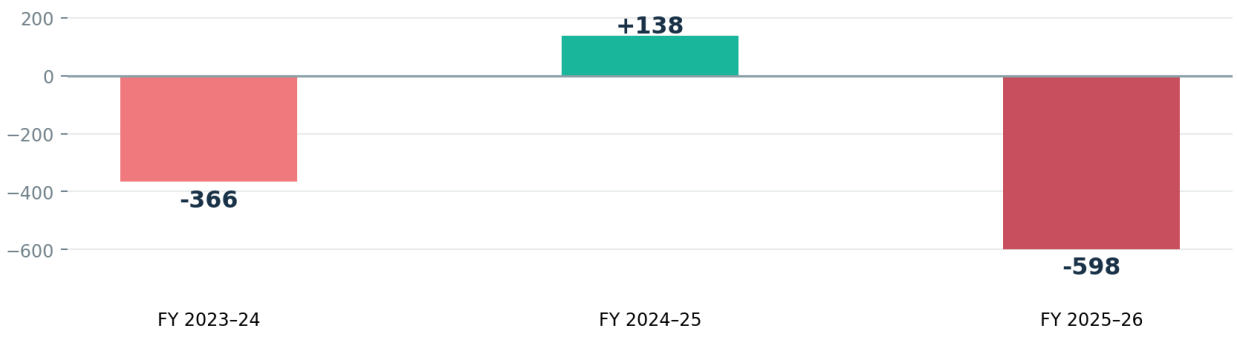
05 / DECISIVE INSIGHT

Profitable growth requires cash conversion.

A closer look at the FY26 disconnect between Inox's reported earnings and cash generated from operations.

INOX • FY26	₹ CRORE
Net profit after tax	+449.10
Net cash from operating activities	−598.12
Trade receivables	4,249.84

Operating cash flow: three years



In FY26, Inox's current receivables rose by ₹1,701.24 crore and inventories by ₹578.47 crore versus the selected FY25 comparative basis. These movements help explain why cash conversion remained an urgent management priority.

Practical recommendations and measures

HORIZON	PROPOSED RESPONSE	MONITOR
0–30 days	13-week cash forecast; overdue collection owners	Variance, receipts
30–90 days	Milestone billing and retention resolution	Receivables ageing
30–90 days	Project cost review and bid discipline	Operating ratio
3–6 months	Review debt tenor and capital deployment	Funding risk, ROE

BUSINESS TAKEAWAY

The highest-impact near-term opportunity is not simply lifting headline profitability: it is turning reported sales and assets into dependable operating cash flow.

06 / METHODOLOGY & SOURCES

Transparent definitions. Appropriate caution.

This document is a public-facing summary of a university financial reporting case study, not an equity recommendation.

Scope and conventions

Period and basis. FY24, FY25 and FY26 consolidated statements for both companies; March 2023 opening balances support the first ROE calculation only.

ROE. Profit attributable to owners divided by average parent-attributable equity; non-controlling interests are excluded from the equity denominator.

Operating ratio. Operating cost / revenue from operations. Finance costs and tax are excluded; depreciation is included.

Liquidity. Quick assets exclude inventories, prepayments and identified held-for-sale assets. Cash includes cash equivalents and marketable current investments; other bank balances are excluded.

Long-term debt ratio. Only non-current borrowings divided by parent-attributable equity; current maturities, leases and other financing exposures need separate review.

Important limitations

Inox's FY26 report changed certain FY25 comparative balances following a common-control transaction. This analysis uses the later FY25 comparative figures where available. FY24 cannot be regarded as a perfectly constant-perimeter baseline. The academic report also documented differences between selected Screener summaries and audited line items; annual-report precision was preferred for calculations.

Suzlon's reported FY26 net profit includes a material net tax credit, while Inox's balance-sheet coverage should not be equated with immediately available cash. Reported financial ratios require contextual judgement, not purely mechanical ranking.

Primary documents and data

- Inox Wind Limited, Annual Report FY 2024–25 — consolidated financial statements, pp. 294–300.
- Inox Wind Limited, Annual Report FY 2025–26 — consolidated financial statements, pp. 314–319; Note 76.
- Suzlon Energy Limited, Annual Report FY 2024–25 — consolidated financial statements, pp. 342–348.
- Suzlon Energy Limited, Annual Report FY 2025–26 — consolidated financial statements, pp. 373–379.
- Screener.in — INOXWIND (consolidated) and SUZLON (consolidated), captured September 2026.

Supporting calculation sheets, statement excerpts and source reconciliation are retained in the original academic report. Numbers and wording here are condensed for professional presentation.

INDEPENDENT ANALYST PERSPECTIVE

Recommendations are hypothetical business responses based on the stated data. They do not represent actions, forecasts or commitments made by either company.